Westpac Business Advantage PNG 2026 CEO100 Survey

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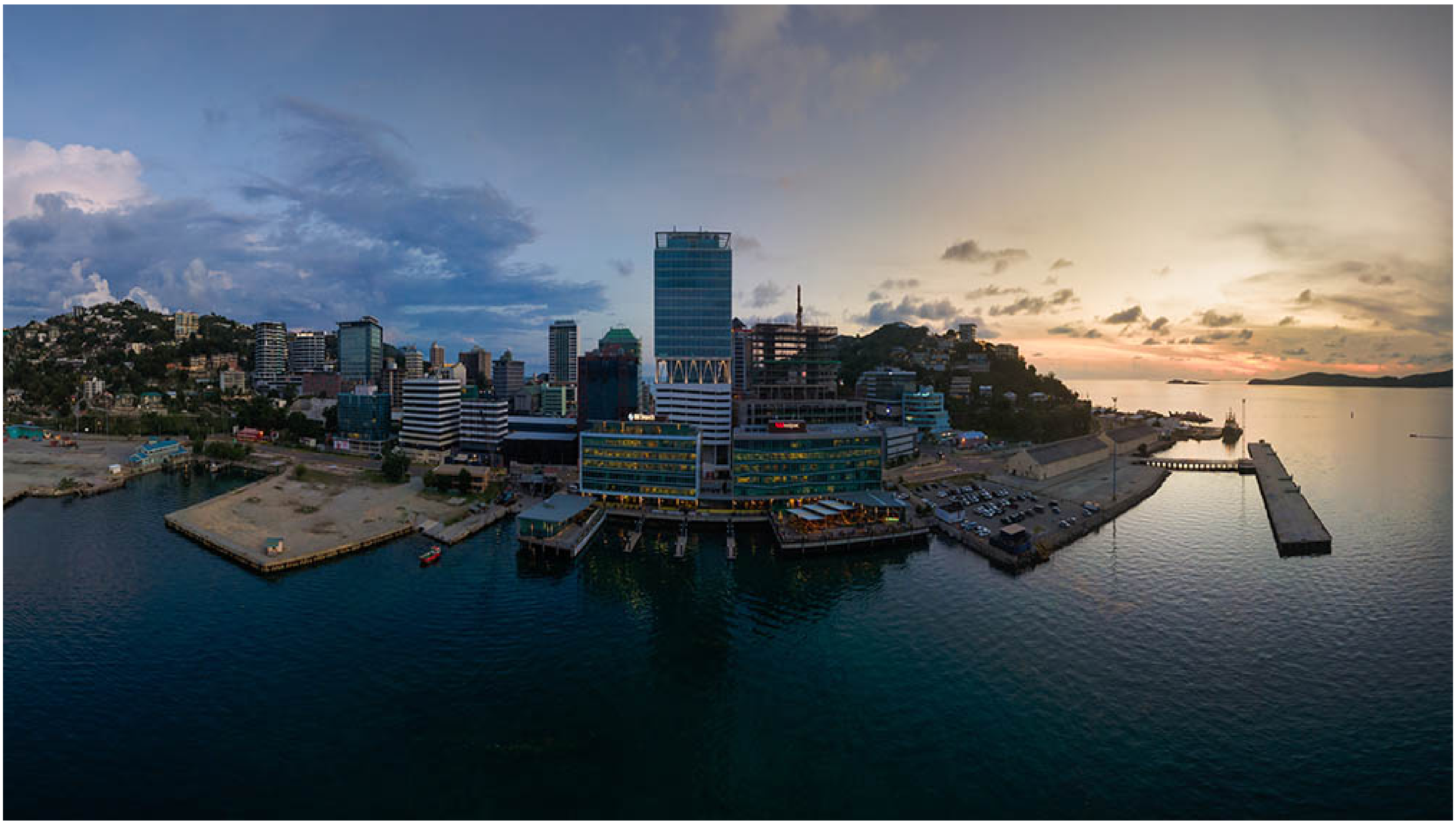
The 2026 Business Advantage PNG CEO100 Survey reveals a significant improvement in business conditions to the highest level since 2023, driven by reduced foreign exchange concerns, profit and investment expectations rising despite softer hiring intentions and a critical focus on unreliable utilities, all together suggesting optimistic economic growth prospects potentially exceeding 5% if key projects like Papua LNG proceed as planned.



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Westpac Business Advantage CEO100 2026 (PDF 3MB)

Since 2012, Business Advantage PNG has conducted an annual PNG CEO100 Survey capturing the expectations of senior PNG executives for the year ahead and assessed how business performance in the year just ended compared with expectations.

Last year, the Survey highlighted a positive shift, with profits exceeding expectations and the outlook strengthening for profits, investment, and recruitment. This positive momentum continued into the 2026 Survey, aided at least in part, we believe, by the opening of the foreign exchange market. The share of CEOs reporting FX as a mission critical issue fell sharply from 67% to 17%, matching the lowest level of concern since 2015. Indeed, overall concern about FX availability is now so low that it has dropped into the list of the six least concerning issues, after being the number one concern for the previous three years and in seven of the past ten years.

In 2026, the number one critical impediment facing PNG businesses is unreliable utilities, the first time this issue has topped the list since 2014.

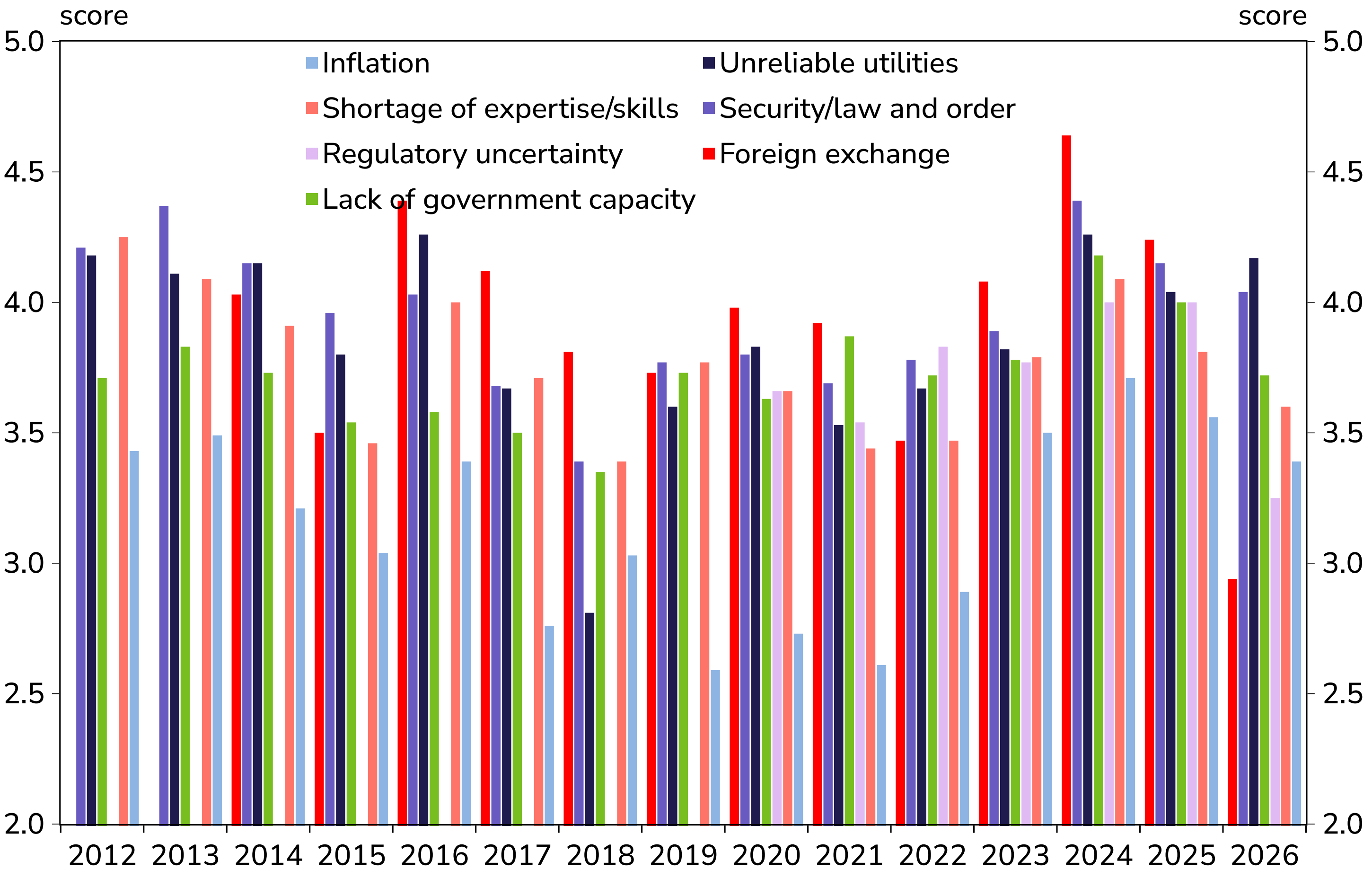
Top concerns for 2026, in order of severity, are:

1. Unreliable utilities
2. Security/law and order
3. Lack of government capacity
4. Shortage of expertise and skills
5. Inflation
6. Regulatory uncertainty

Of least concern for 2026, from least to more concern, are:

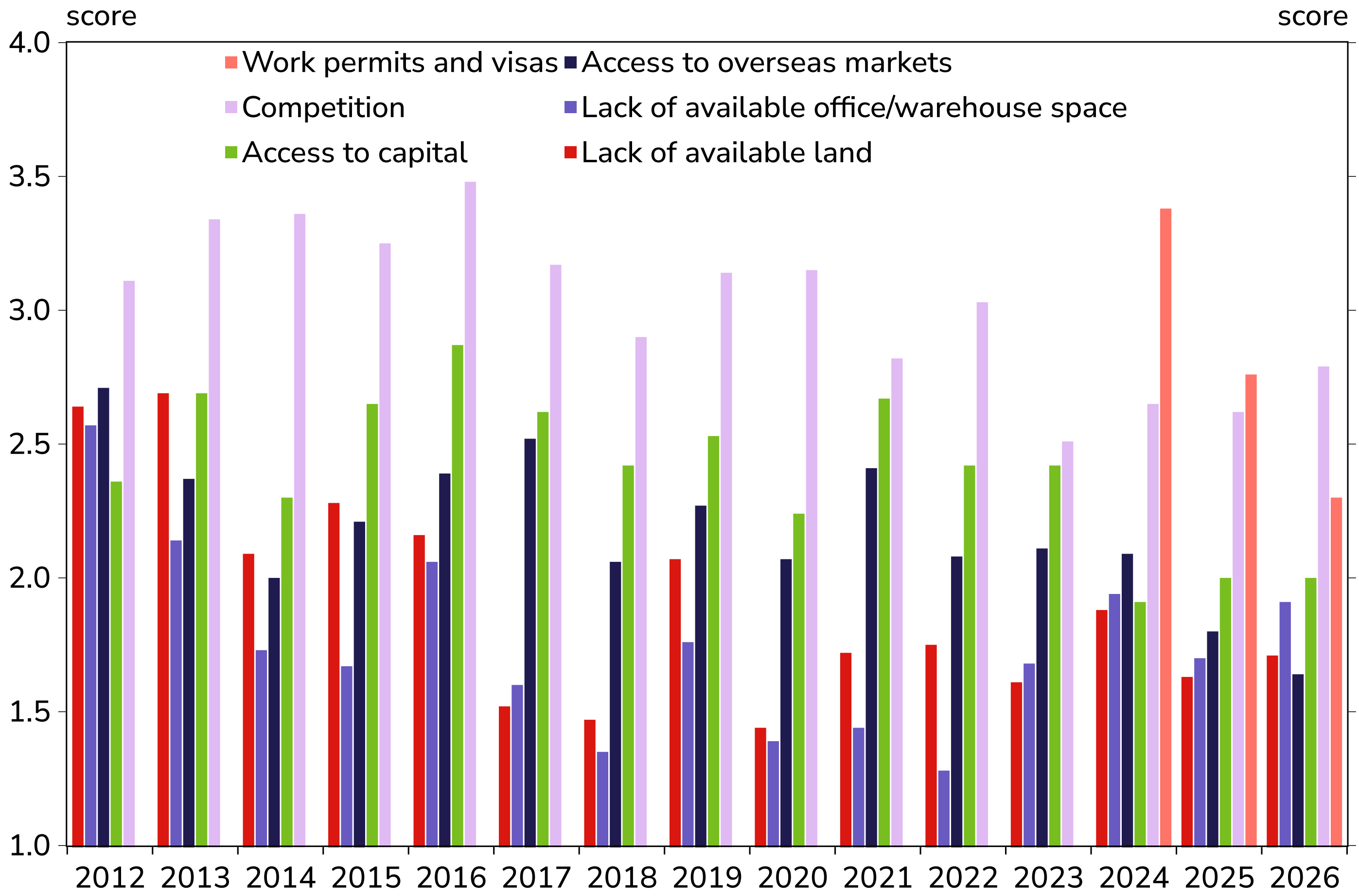
1. Access to overseas markets
2. Lack of available land
3. Lack of office and warehouse space
4. Access to capital
5. High real estate rental costs
6. Foreign Exchange

Top six factors of most concern for PNG Businesses



Source: Business Advantage PNG, Macrobond, Westpac Economics

Six factor of least concern for PNG businesses



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From the 2026 survey, we have identified five key highlights:

1. PNG Business Confidence is better than average

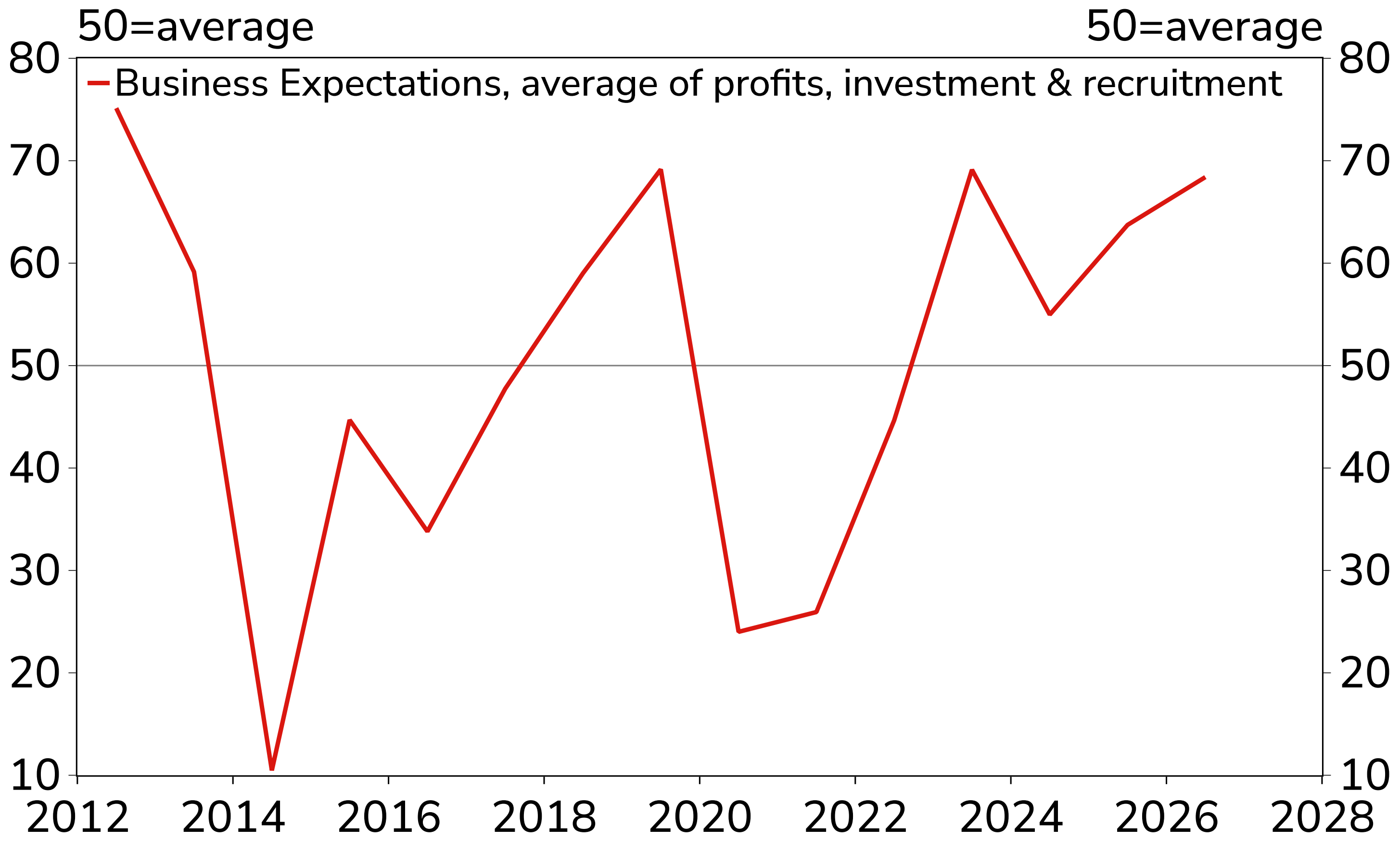
Westpac combines the survey's various indicators of business conditions into the Westpac Business Advantage Business Conditions Index, where 50 represents the long run average. Readings above 50 indicate more positive business conditions.

In 2026, the Business Conditions Index rose to 62.5, the highest level since 63.5 in 2023, which also remains the all-time high for the Index.

During the COVID 19 period of 2020 and 2021, Business Conditions fell below 50. More troubling, however, was the decline to 47.2 in 2024, following a worse than expected profit outcome for 2023. It is therefore encouraging to see reported Business Conditions continue to improve as PNG entered 2026.

While significant headwinds remain, current economic settings for PNG businesses are better than average and with the Westpac Business Advantage Business Confidence Index the highest seen in eight years, the groundwork is there for a better than average year. If policy, fiscal, and regulatory reform continues, there is potential for economic growth in 2026 to exceed expectations.

CEO100 Business Expectations



Source: Business Advantage, Macrobond, Westpac Economics

2. Reliability of utilities is the number one mission critical issue

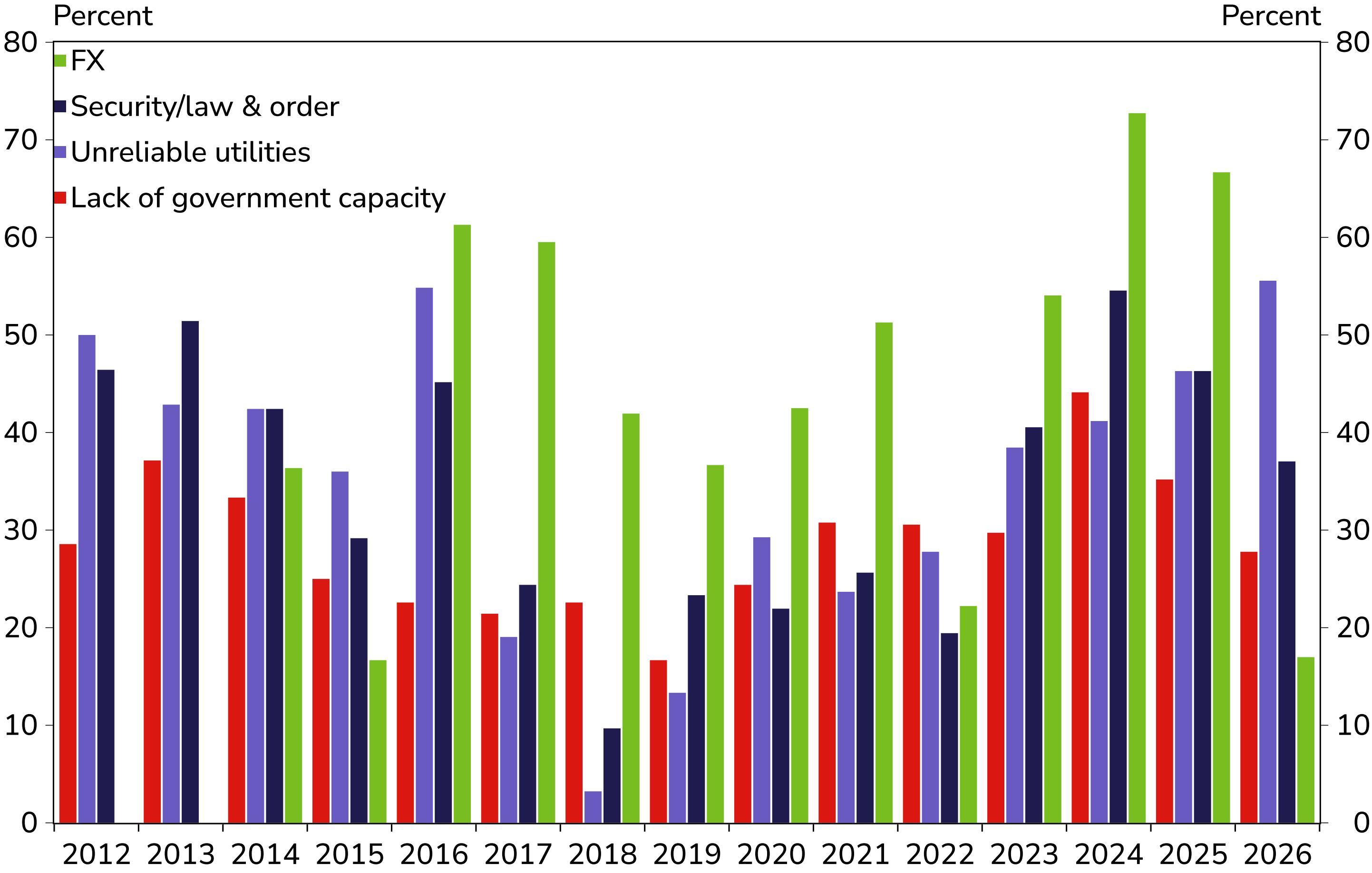
In 2025, Westpac noted that CEOs' concern about the reliability of utilities was rising and had reached parity with security/law and order. At that time, only foreign exchange availability ranked higher as a critical issue.

In 2026, with FX concerns falling into the category of least concern, unreliable utilities have surged to become the number one issue facing PNG businesses.

Average concern about utilities is higher than in 2025, though still below the peak reached in 2024. This should not be interpreted as evidence that utility reliability has improved. Rather, the share of firms identifying utilities as a mission critical issue has risen sharply to 56%, up from 46% in 2025 and well above the all time low of 3% in 2018. We suspect that the lower overall concern reflects PNG businesses adapting to ongoing constraints, rather than any meaningful improvement in service reliability.

While business resilience in the face of adversity is encouraging, unreliable utilities remain a major constraint on both current economic activity and the longer term development of the PNG economy. Unlocking PNG's full economic potential will require meaningful improvements in utility reliability, making this a critical policy priority.

FX was the critical concern in 2025...



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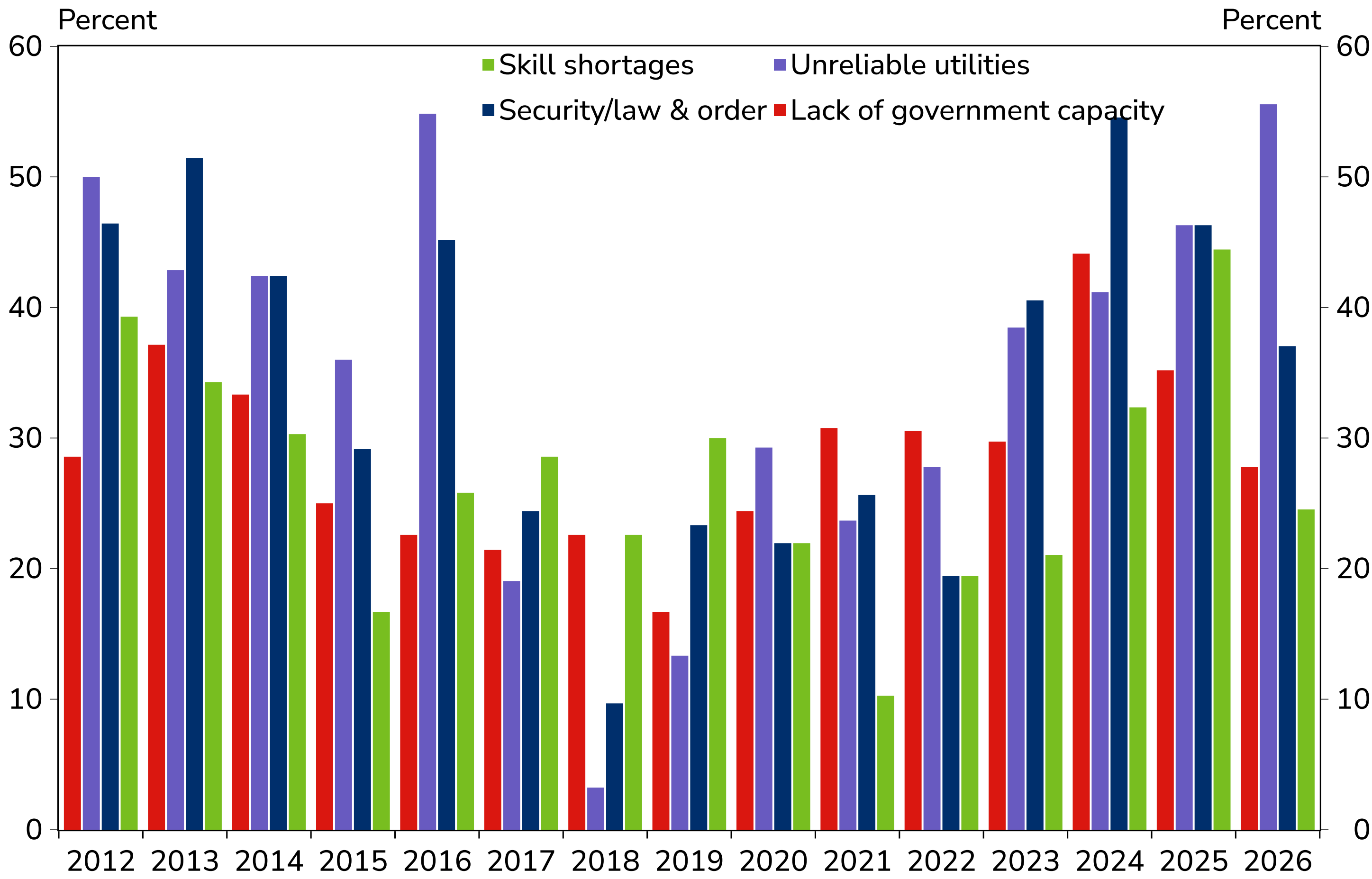
...to be replaced by unreliable utilities in 2026



Source: Business Advantage PNG, Macrobond, Westpac Economics

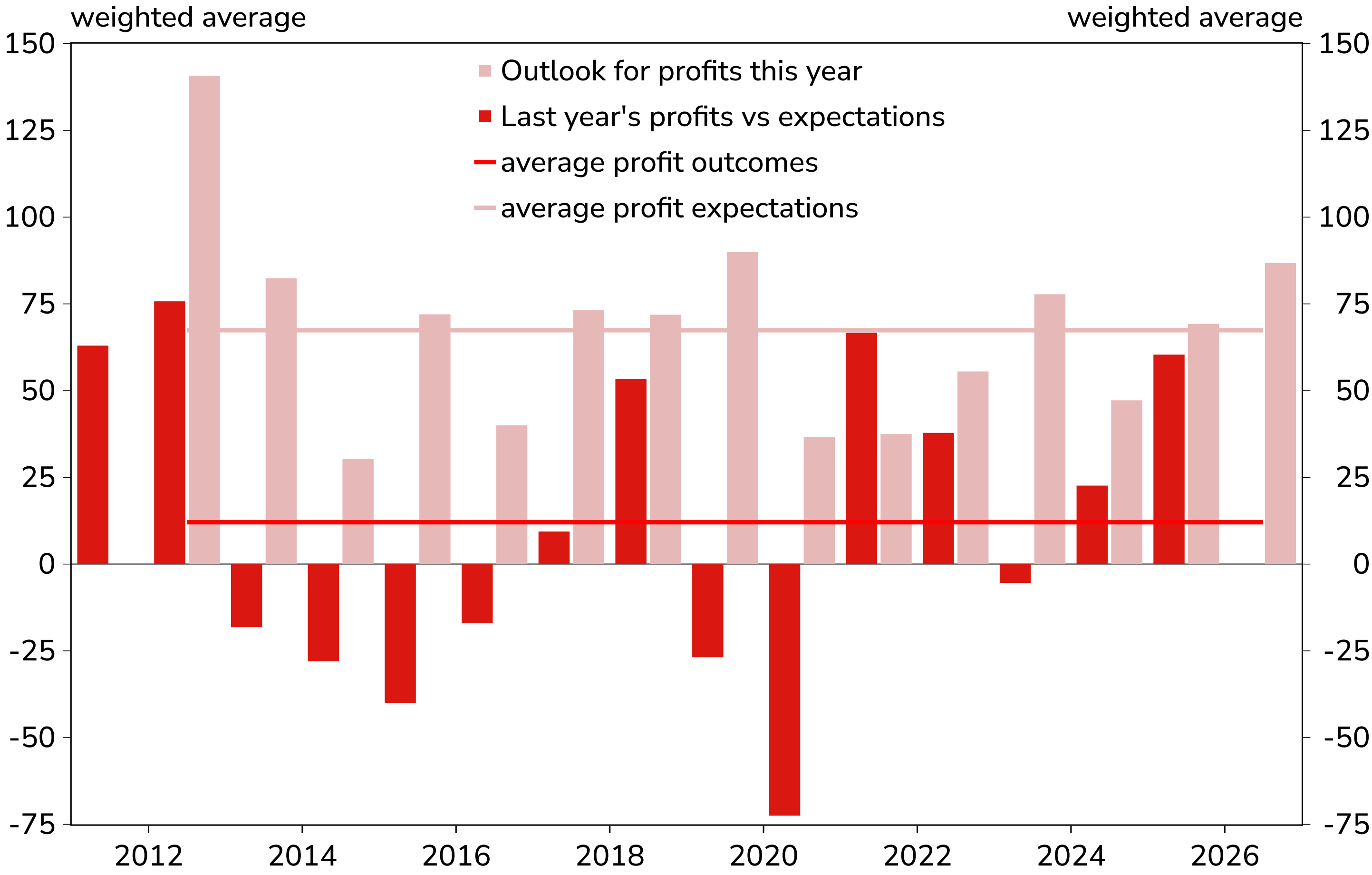
3. Profits outperformed expectations; outlook improves despite softer hiring intentions.

In 2025, profit expectations were already higher than in 2024, signalling that PNG CEOs anticipated a return toward more average growth profile for profits.

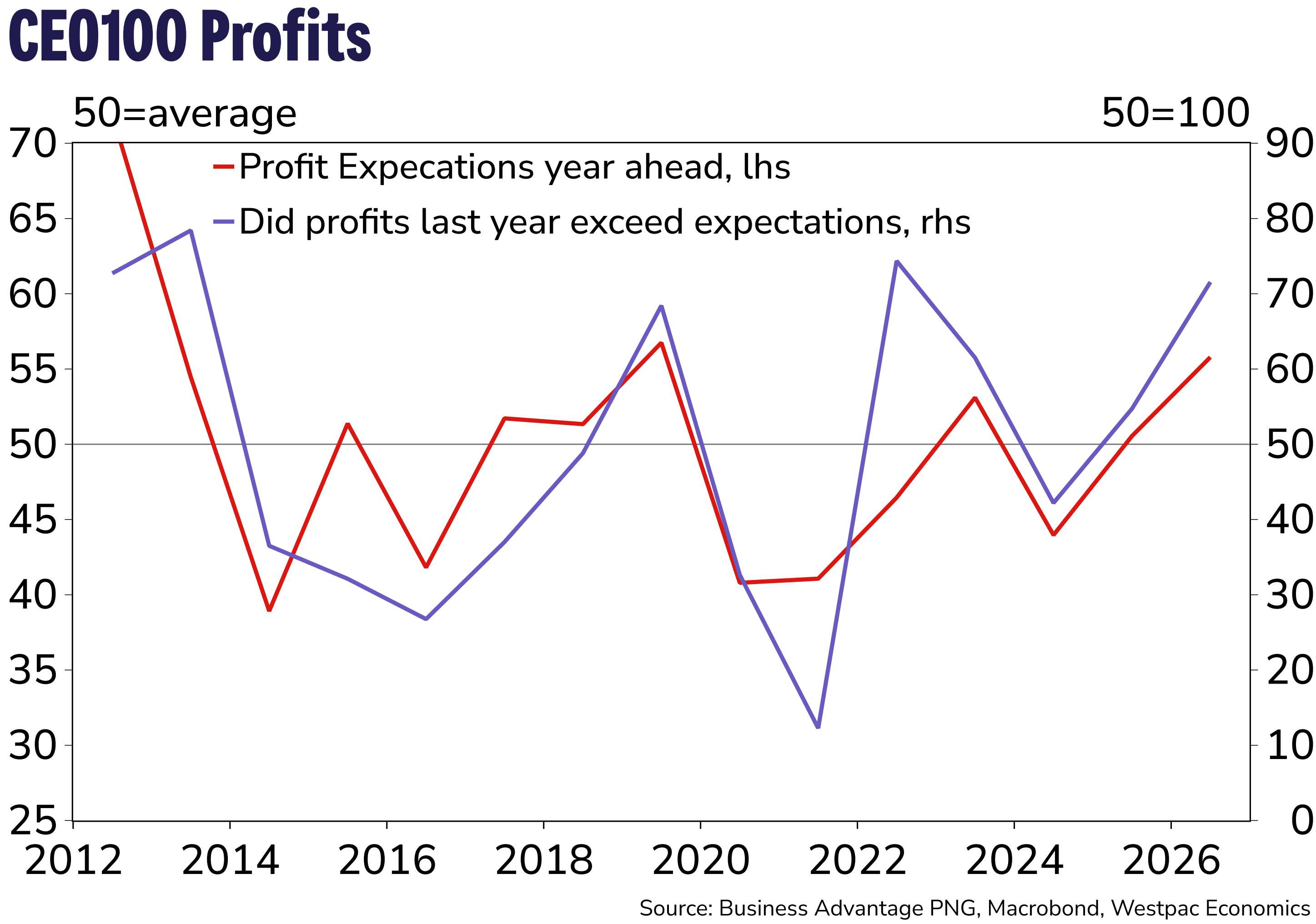
Actual profit outcomes in 2025 exceeded expectations by a significant margin, with the 2026 Survey reporting responses 30% above the historical average. Against this backdrop, it is unsurprising that profit expectations strengthened further in 2026. While profit expectations last year were only marginally above average, they are now around 10% higher than the long run average. Attention will naturally turn to the 2027 Survey to see whether profit outcomes can once again exceed expectations.

Improving profit expectations have been accompanied by stronger investment intentions, with the Investment Expectations Index rising 6% over the year to sit almost 20% above its long run average. In contrast, recruitment intentions declined by 6%, which is disappointing given the more favourable business environment. Nevertheless, at 56, the Recruitment Expectations Index remains more than 7% above its long run average, suggesting non mineral employment can continue to grow in 2026, albeit at a slower pace than in 2025.

CEO 100 Profits: outcome vs expectation



Source: Business Advantage, Macrobond, Westpac Economics



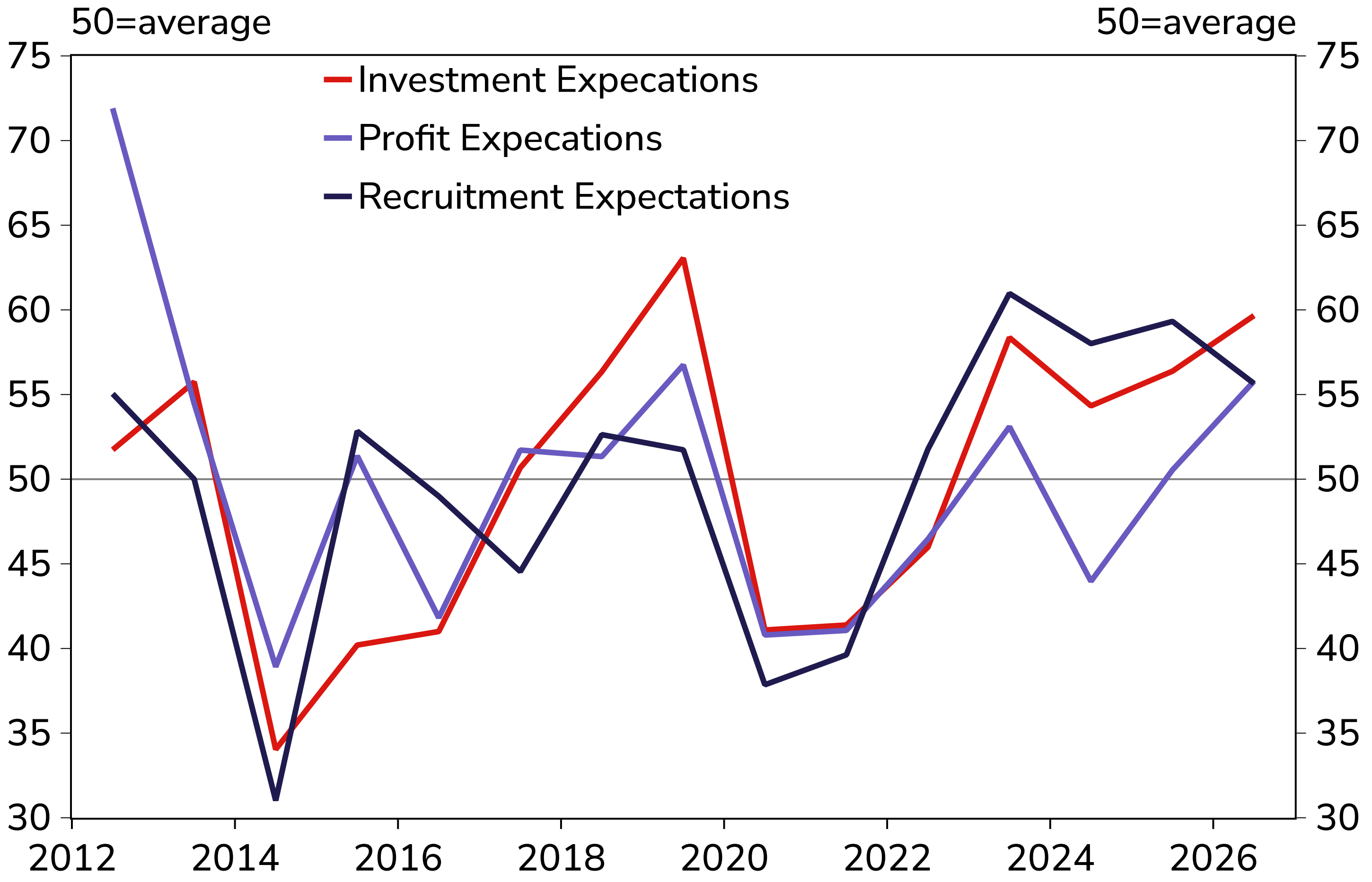
4. Rising business expectations points to stronger economic growth

Westpac combines profit, investment, and recruitment expectations into the Westpac Business Advantage Business Expectations Index, where 50 represents the long run average.

In 2026, the Business Expectations Index rose to 68, up from 59 in 2025, marking the highest reading since 69 in 2023 and standing 25% above the long run average. When combined with the improvement in the Business Conditions Index, the 2026 Survey suggest that PNG CEOs broadly share Westpac's expectation that economic growth will strengthen in 2026.

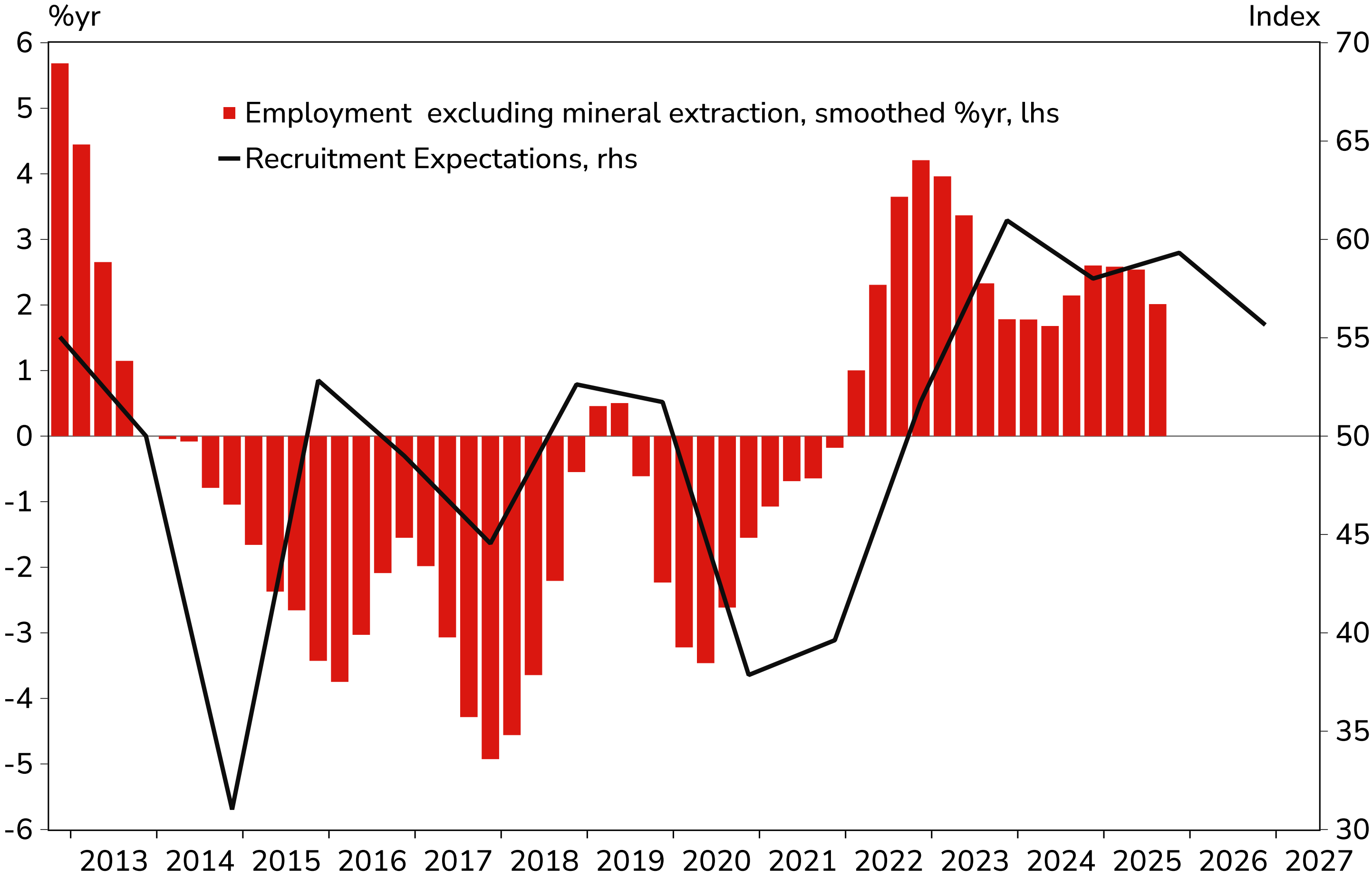
Our current forecast is for GDP growth of 4.6% in 2026. However, risks are skewed to the upside as we reassess PNG's near-term growth outlook ahead of an expected final investment decision on Papua LNG in the second half of the year, with construction potentially commencing shortly thereafter. While the Government has stepped up efforts to advance the project, a history of delays and internal opposition means the timing remains uncertain. Should the project proceed as expected, growth could be around 5.0%, with momentum building further in 2027, underpinned by capital inflows, infrastructure development and construction activity, and supported by a constructive outlook for the resource sector overall amid favourable global prices.

CEO100 Expectations Indexes



Source: Business Advantage, Macrobond, Westpac Economics

CEO100 Recruitment vs non mineral employment



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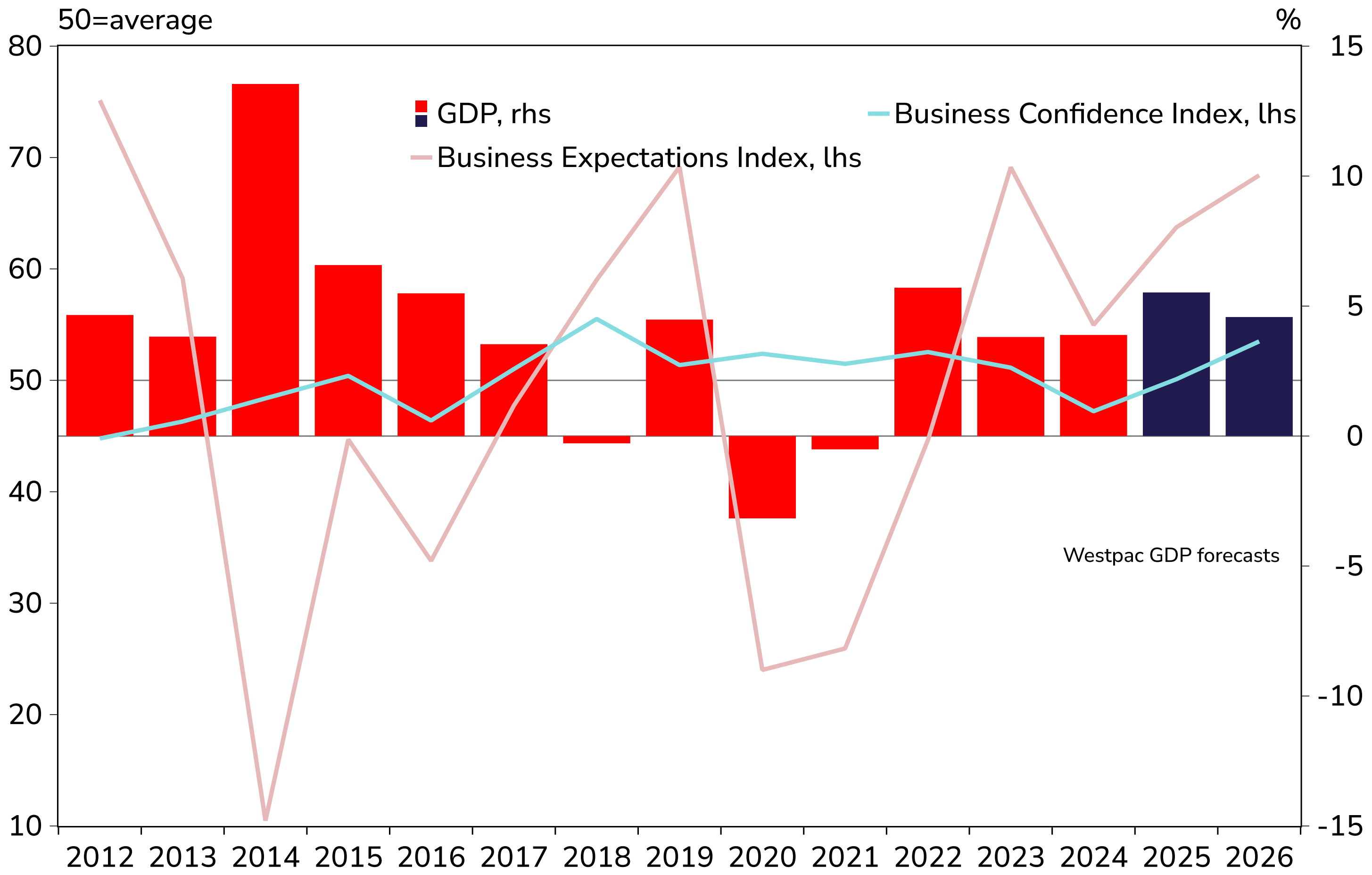
CEO100 Survey vs Economic Growth



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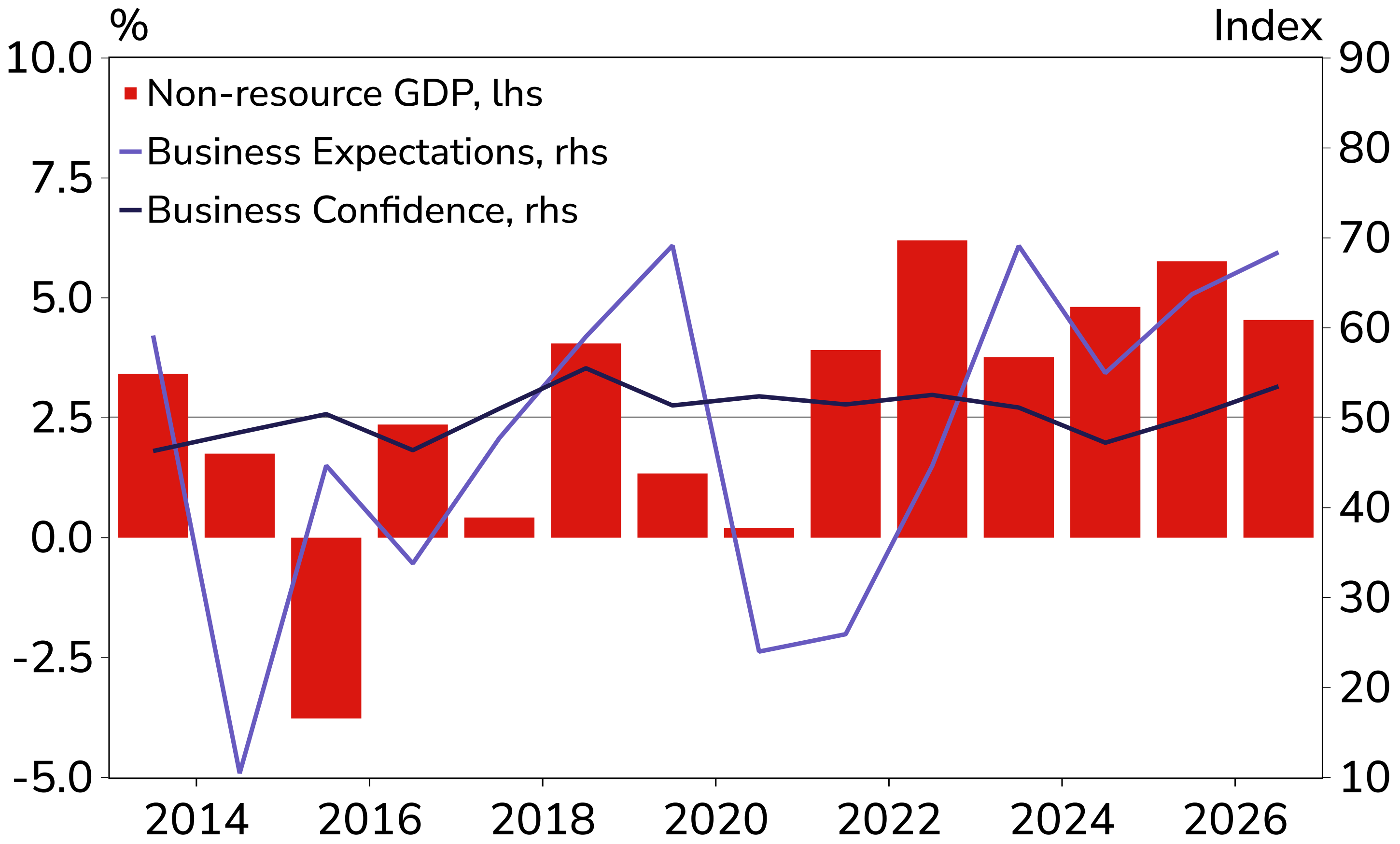
CEO100 Survey and PNG non resources activity



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